

Tuesday, February 17, 2026

REPRESENTATIVES AT GENERAL MEETINGS

RECIPIENTS OF naamsa MEDIA RELEASES

**RE: QUARTERLY REVIEW OF BUSINESS CONDITIONS: NEW MOTOR VEHICLE
MANUFACTURING INDUSTRY / AUTOMOTIVE SECTOR: 4TH QUARTER 2025**

Ladies and Gentlemen,

Attached is a copy of **naamsa**'s quarterly review of business conditions for the South African motor vehicle manufacturing industry, during the fourth quarter of 2025, as submitted to the Director-General, Department of Trade, Industry and Competition [**the dtic**].

Industry vehicle sales, export, and import statistics for 2016 through 2025, together with current projections for 2026 and 2027, are reflected on the attachment to the submission.

KEY FEATURES: FOURTH QUARTER 2025

- Aggregate new vehicle sales during the fourth quarter 2025 recorded an increase of 15,8% compared to the corresponding quarter 2024 and an increase of 1,1% compared to the third quarter 2025.
- Fourth quarter 2025 aggregate industry employment as at 31st December 2025 totalled 31,878 reflecting a decrease of 237 jobs compared to the 32,115 industry head count as at the end of September 2025;
- Average industry capacity utilisation levels during the fourth quarter 2025 continued to reflect prevailing markets conditions as well as higher vehicle production driven by higher export volumes during the quarter;
- New energy vehicle [NEV] sales by 23 industry brands increased by 3,5% from 4,601 units in the fourth quarter 2024 to 4,764 units in the fourth quarter 2025;
- Aggregate capital expenditure by the major light vehicle manufacturers in 2025 amounted to R7,2 billion, linked to new generation model investments;

- South Africa's global vehicle production market share decreased from 0,67% in 2023 to 0,65% in 2024, although its global vehicle production ranking improved from 22nd to 21st;
- Fourth quarter 2025 domestic vehicle production reflected an increase of 1,7% compared to the corresponding quarter 2024;
- Vehicle exports increased by 1,7% in the fourth quarter 2025 compared to the corresponding quarter 2024 due to increasing exports to all major regions, with the exception of Asia; and
- The **naamsa** CEOs Confidence Index, as an in-house leading business confidence indicator of current and future developments in the domestic automotive industry, reflects the sentiment expressed by the **naamsa** CEOs for the fourth quarter 2025 compared to the fourth quarter 2024 as well as automotive business conditions and the country's economy in general for the next 6 months.

Tuesday, February 17, 2026

Mr. Simphiwe HAMILTON

Director-General

Department of Trade, Industry and Competition

Private Bag X84

PRETORIA

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**RE: QUARTERLY REVIEW OF BUSINESS CONDITIONS: NEW MOTOR VEHICLE
MANUFACTURING INDUSTRY / AUTOMOTIVE SECTOR: 4TH QUARTER 2025**

Dear Mr. HAMILTON

naamsa would like to submit the following report on business conditions in the South African new motor vehicle manufacturing industry and the automotive sector during the fourth quarter of 2025.

1. EMPLOYMENT LEVELS AND TRENDS

The number of persons employed by the South African new vehicle manufacturing industry - comprising the major new vehicle manufacturers and specialist commercial vehicle and bus manufacturers - during the fourth quarter of 2025 may be set out as follows:

PERIOD	INDUSTRY TOTAL
Last pay week October 2025	32,032
Last pay week November 2025	31,934
Last pay week December 2025	31,878

Industry employment levels and trends reflect employees on the payroll of vehicle manufacturers. Aggregate industry employment as at 31st December 2025 totalled 31,878 reflecting a decrease of 237 jobs compared to the 32,115 industry head count as at the end of September 2025.

The average monthly vehicle manufacturing industry employment number for 2025 was 32,115 compared to the 33,154 in 2024. Employment in the vehicle manufacturing industry is generally linked to production and the decrease in employment in 2025 related to lower vehicle production volumes by certain OEMs with a consequent decrease in employment for the period under review.

Employment levels on the payroll of the independent vehicle importers, at their head offices and dedicated dealerships.

PERIOD	TOTAL
End of quarter 4, 2022	7,610
End of quarter 4, 2023	7,517
End of quarter 1, 2024	7,485
End of quarter 2, 2024	7,517
End of quarter 3, 2024	7,603
End of quarter 4, 2024	7,580
End of quarter 1, 2025	7,575
End of quarter 2, 2025	7,682
End of quarter 3, 2025	7,767
End of quarter 4, 2025	7,903

Aggregate independent vehicle importers employment as at 31st December 2025 totalled a head count of 7,903 reflecting an increase of 136 jobs, compared to the head count of 7,767 as at the end of September 2025. Capital expenditure reported on an annual basis by the independent vehicle importers, at their head offices and dedicated dealerships, amounted to R58,1 million in 2025.

PERIOD	TOTAL
2019	R62.6 mil
2020	R53.3 mil
2021	R32.5 mil
2022	R54.3 mil
2023	R43.3 mil
2024	R63,6 mil
2025	R58,1 mil

The employment and capital expenditure data collection serves as important reference points, mainly to discern trends in the independent vehicle importers' landscape.

2. NUMBER OF SHIFTS

Various OEMs have returned to operations on a three-shift basis as well as multi-shifts in selected areas such as machining, press shops, paint shop operations and body shops in line with a recovery in vehicle production volumes post the pandemic as well as in supporting higher vehicle export volumes. During the quarter, two OEMs operated on a three-shift basis, one OEM on a combined single, double and three-shift basis, one OEM on a double shift, one OEM on a combined single- and double-shift basis, and two OEMs on a single-shift basis.

3. AVAILABILITY AND PRICE TRENDS OF COMPONENTS AND RAW MATERIALS

3.1. Imported components and raw materials

South Africa's energy, ports and rail infrastructure landscape remains challenging for manufacturing operations despite ongoing improvements, disrupting the availability and price trends of imported components. Prices of imported components and raw materials remained subject to exchange rate movements and the global price index. An improvement of the Rand exchange rate impacted positively on the landed prices of imported components and raw materials during the quarter.

3.2. Local components and raw materials

Although easing, port congestion and delays continued to disrupt supply chains during the quarter. Various raw material price fluctuations impacted local component costing during the quarter. Fluctuations reported included reductions in lead, increases in leather and rubber, and added volatility in copper prices. Risk in the domestic steel supply chain have been noted. Raw material pricing trends remain a function of exchange rate movements and the global price index.

4. UTILISATION OF PRODUCTION CAPACITY: 2022 - 2025 Q4

Average motor vehicle manufacturing industry capacity utilisation levels, by sector and for the years/quarters indicated, may be illustrated as follows:

	Year 2022	Year 2023	Year 2024	Year 2025	Q1 2025	Q2 2025	Q3 2025	Q4 2025	Q4 2025 Range [High] [Low]	
Cars	75.5%	92.8%	90.4%	86.6%	88.9%	89.0%	83.9%	84.7%	100%	54.0%
Light Commercials	65.2%	77.9%	74.4%	71.3%	72.8%	63.5%	75.1%	73.6%	100%	33.3%
Medium Commercials	69.1%	58.5%	39.4%	45.5%	55.3%	31.4%	47.5%	47.7%	75.0%	31.0%

Heavy Commercials	83.8%	79.6%	81.1%	77.6%	77.6%	79.5%	83.0%	70.4%	100%	22.0%
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Average industry capacity utilisation levels during the fourth quarter 2025 continued to reflect prevailing markets conditions as well as higher vehicle production volumes driven by higher export volumes during the quarter. The experience of the various OEMs in the different segments differed from one another as determined by their company's balance of trade.

5. VEHICLE MANUFACTURING INDUSTRY CAPITAL EXPENDITURE: 2019 - 2025

naamsa reports the industry's aggregate capital expenditure on an annual basis. The aggregated data is based on capital expenditure details supplied by the major vehicle manufacturers. Details of actual industry capex for 2019 through 2025, in Rand millions, are as follows:

CAPITAL EXPENDITURE	2019	2020	2021	2022	2023	2024	2025
Product/Local/Content/ Export Investment/ Production Facilities	6,705.8	7,296.2	4,910.8	6,443.9	4,393.3	6,685.5	6, 264.7
Land and Buildings	234.5	1,558.1	3,641.4	203.8	215.3	312.2	410.3
Support Infrastructure [I.T., R&D, Technical, etc.]	334.0	377.4	248.5	464.6	561.6	300.2	512.5
TOTAL	7,274.3	9,231.7	8,800.7	7,112.3	5,170.2	7,297.9	7,187.5

Capital expenditure amounted to R7,2 billion in 2025 [excluding Mercedes-Benz SA]. The continued high levels in capital expenditure over recent years are due to investment projects by manufacturers in terms of the Automotive Production Development Programme [APDP] and APDP2, which are normally spread over multiple years and linked to new generation model investment cycles as well as higher levels of production for export markets. There has been an increasing trend in investments in hybrid and plug-in hybrid models in the domestic market.

6. TRANSFORMATION | SAFER CARS 2025: A SOUTH AFRICAN PERSPECTIVE

South Africa is part of a global automotive system, but the country's vehicle safety framework does not always move at the same pace as Europe or the United States. As 2025 became a milestone year for advanced safety standards globally, it is important to unpack what "Safer Cars 2025" actually means — and what it means specifically for South Africa.

This article explains the concepts in simple terms and outlines the implications for the South African market.

Simple definitions of key concepts

Before analysing the South African position, it is helpful to clarify terminology:

1. Vehicle Safety Regulations: These are the *legal minimum safety requirements* that a vehicle must meet before it can be sold in a country. If a vehicle does not meet these rules, it cannot legally be registered or sold.
2. Homologation: The formal approval process confirming that a vehicle complies with national safety, emissions, and technical standards.
3. NCAP (New Car Assessment Programme): An *independent crash-testing programme* that rates vehicles using a star system (usually 0 to 5 stars). NCAP ratings are not laws — they are consumer information tools.
4. Global NCAP / SaferCarsForAfrica: Global NCAP runs crash testing programmes in developing markets. In South Africa, testing under the #SaferCarsForAfrica banner is supported by **naamsa**.
5. ADAS (Advanced Driver Assistance Systems): Technology that helps prevent crashes. Examples include:
 - Automatic Emergency Braking (AEB)
 - Blind Spot Monitoring
 - Lane Keeping Assist

These systems are increasingly standard in Europe and other developed markets.

What was happening globally in 2025?

In major markets like the United States and the European Union, regulators are tightening safety rules. Advanced crash avoidance systems are moving from being optional features to becoming standard requirements. For example, the National Highway Traffic Safety Administration (NHTSA) continues to strengthen crash testing protocols and safety technology requirements in the US.

In Europe, new General Safety Regulations require features such as intelligent speed assistance and advanced braking systems on new vehicles. The direction is clear: Safety technology is becoming mandatory, not optional.

Where Does South Africa Stand?

South Africa follows a rules-based homologation system aligned with certain UN vehicle regulations, however:

- Many advanced safety technologies are *not yet mandatory* domestically.
- NCAP ratings are *not legally binding*.
- A vehicle can legally be sold even if it achieves a low crash test rating.

This creates an important distinction:

Global Trend	South African Reality
Advanced safety tech increasingly mandatory	Many systems still optional
Crash performance tightly regulated	Minimum standards apply, but not latest benchmarks
Strong enforcement alignment	Regulatory updates slower

The South African policy balance

South Africa's automotive sector is globally integrated, and export driven. The country must balance:

- Affordability in a price-sensitive domestic market,
- Export competitiveness,
- Consumer safety, and
- Industrial sustainability

Strengthening safety regulation must therefore be sequenced and realistic, but also forward-looking.

The Central Question

The 2025 global safety shift presents South Africa with a strategic choice:

- Remain aligned only with minimum compliance standards, or
- Progressively align with higher international safety benchmarks.

The technology exists. The data is available. Independent testing programmes are transparent. The policy question is not whether vehicles can be safer — it is how quickly regulatory frameworks evolve to ensure that safety improvements become universal rather than selective.

7. BUSINESS CONDITIONS, PERFORMANCE INDICATORS AND COMMENT

Business Conditions: Fourth Quarter: 2025

2025 Fourth quarter aggregate industry new passenger car sales at 114,445 units recorded an increase of 15,070 units, or a gain of 15,2% compared to the 99,375 new passenger cars sold during the corresponding quarter of 2024. Aggregate industry commercial vehicle sales during the fourth quarter of 2025, at 45,472 units, recorded an increase of 6,741 units, or a gain of 17,4% compared to the 38,731 units sold during the fourth quarter of 2024.

Industry domestic sales growth: Direction and extent of change [previous and corresponding quarter's percentage changes are reflected in brackets]				
	Qtr. ended 31 December 2025 compared with <u>previous Qtr. ended</u> <u>30 September 2025</u>		Qtr. ended 31 December 2025 compared with <u>corresponding Qtr.</u> <u>ended 31 December 2024</u>	
Passenger Cars	+2.3%	[+18.7%]	+15.2%	[+23.7%]
Light Commercial vehicles	-0.1%	[+14.4%]	+22.7%	[+13.8%]
Medium Commercial vehicles	-3.6%	[+13.9%]	-0.8%	[+0.7%]
Heavy Commercial vehicles	-13.8%	[+13.8%]	+1.4%	[+33.0%]
Extra Heavy Commercials	-6.1%	[+5.9%]	-4.8%	[-14.2%]
Buses	-30.3%	[+77.7%]	-16.7%	[+40.0%]

Aggregate new vehicle sales during the fourth quarter 2025 recorded an increase of 15,8% compared to the corresponding quarter 2024 and an increase of 1,1% compared to the third quarter 2025. Passenger car sales were strongly supported by an increasing number of entrants with affordable model options drawing a cohort of price sensitive as well as first-time buyers into the new vehicle market. LCV (bakkie) sales were supported by a mixed of higher domestically manufactured models and an increasing number of imported models while mini-bus taxi sales also increased despite ongoing financial challenges at SA Taxi, providing financing for taxis. Excessive government taxes of up to 42% on the price of a new vehicle, with even entry level vehicles attracting a luxury tax, continue to force consumers to affordable imported models. This will remain a major industry challenge until government addresses the luxury tax regime which has never been adjusted for inflation over the past three decades. Sales in the heavy commercial vehicle segments remain subject to the

underlying domestic economic climate and key commodity price fluctuations, affecting transport demand.

New energy vehicle [NEV] sales by 23 industry brands increased by 3,5% from 4,601 units in the fourth quarter 2024 to 4,764 units in the fourth quarter 2025, following an 25,0% increase during the third quarter 2025 compared to the third quarter 2024. For the full year 2025, NEV sales by 30 industry brands increased by 7,1% to 16,716 units compared to the 15,611 units in 2024 and comprised 2,8% of the total new vehicle market in 2025 compared to 3,0% in 2024.

The following table reveals the diversity of drivetrain sales in the South African NEV landscape from 2020 through to 2025 Q4.

	Year 2020	Year 2021	Year 2022	Year 2023	Year 2024	Year 2025	Q4:2024	Q4:2025
Plug-in hybrid	77	51	122	368	738	2,810	4,156	3,452
Traditional hybrid	155	627	4,070	6,485	13,616	12,818	261	1,026
Electric	92	218	502	929	1,257	1,088	184	286
Total NEVs	324	896	4,694	7,782	15,611	16,716	4,601	4,764

naamsa continues to emphasise that the industry awaits with pressing anticipation the finalisation of the comprehensive review of South Africa's automotive policy framework, which is imperative for the sector's long-term competitiveness, investment attractiveness, and resilience. In an increasingly complex and rapidly evolving global automotive environment, characterised by technological disruption, shifting trade alliances, and accelerated energy transition pathways, a coherent, forward-looking policy framework remains critical to safeguarding South Africa's position within global and regional automotive value chains.

Across Africa, governments are becoming key drivers of the electric mobility revolution and it is with growing concern that the domestic automotive industry is noting the significant developments in other African countries, eclipsing South Africa in attracting investments in EVs, EV components and public charging infrastructure. A case in point is the recent announcement by Nigeria relating to its agreement with South Korea to establish a 300,000 EV manufacturing plant in the country which would generate 10,000 jobs.

The 150% tax incentive for the production of electric and hydrogen-powered vehicles, enacted on December 24, 2024, will be implemented from March 1, 2026. Notably, this tax break provides a tax deduction on investments in electric and hydrogen-powered vehicle production and industry's

request remains to also include hybrids and plug-in hybrid investments. Furthermore, supporting the affordability and attractiveness of NEVs for the South African public remains crucial.

South African Automotive Industry's Performance in a Global Context: 2019 - 2024 production data: Following a sound year-on-year gain of 10,2% in 2023, global vehicle production consolidated in 2024, decreasing by 1,0% to reach 92,5 million vehicles, down from the 93,5 million units produced in 2023. Available three quarters 2025 global vehicle production data reflected a 3,8% increase compared to the corresponding period 2024.

The following table reflects SA's share of global vehicle production for 2019 to 2024 [in millions].

	2019	2020	2021	2022	2023	2024	% change 2024 / 2023
Global Production	92.18	77.71	80.21	84.83	93.45	92.50	-1.0%
South Africa Production	0.63	0.45	0.50	0.56	0.63	0.60	-5.2%
SA Share: Global Production	0.69%	0.58%	0.62%	0.65%	0.67%	0.65%	-3.0%

South Africa's global vehicle production market share decreased from 0,67% in 2023 to 0,65% in 2024, although its global vehicle production ranking improved from 22nd to 21st in view of the poorer performance by Italy dropping below South Africa in 2024. In terms of global LCV production, the country was ranked 15th, with a market share of 1,05%. South Africa remained the dominant market on the African continent, and accounted for 599 754 vehicles, or 50,9% of the total African vehicle production of 1 177 400 vehicles in 2024.

South African vehicle production increased by 2,7%, from 600,171 units in 2024 to 616,466 units in 2025. Fourth quarter 2025 domestic vehicle production reflected an increase of 1,7% compared to the corresponding quarter 2024. The discontinuation of a domestically manufactured budget model along with an influx of affordable models impacted negatively on passenger car production volumes during the quarter, decreasing by 1,5% quarter-on-quarter in 2025. LCV production was supported by higher sales and production volumes of domestically manufactured bakkies, increasing quarter-on-quarter by 5,8% in 2025. Production volumes in the heavy commercial vehicle segments benefited from an improved economic climate and higher export volumes during the quarter.

The following table reflects South Africa's domestic vehicle production for 2020 to 2025 Q4.

	2020	2021	2022	2023	2024	2025	2024 Q4	2025 Q4
Passenger Cars	237,214	239,266	309,423	336,012	350,384	327,990	81,223	80,024
LCVs	185,691	232,166	215,472	262,646	217,562	255,807	63,019	66,659
MCVs	6,874	7,643	8,478	8,362	7,778	8,296	2,112	2,140
HCVs	4,208	5,151	6,269	5,719	5,653	6,767	1,615	1,724
XHCVs	11,484	14,175	15,498	18,841	17,799	16,597	4,209	4,349
Buses	745	685	745	782	995	1,009	306	249
TOTAL	446,216	449,086	555,885	632,362	600,171	616,466	152,484	155,145

South Africa had a vehicle parc [number of registered vehicles] of 13,36 million at the end of 2024, of which 7,95 million, or 59,5%, comprised passenger cars.

In 2025, vehicle exports increased to a record 414,268 units, up 5,9% compared to the 391,128 units exported in 2024. South Africa's automotive industry is export-oriented, relying heavily on trade agreements to sustain export volumes and competitiveness. The 414,268 left- and right-hand drive vehicles, comprising a massive 70,3% of light domestic vehicle production, were exported to 109 countries around the world in 2025.

The Economic Partnership Agreements [EPAs] with the EU and the UK ensured that the region dominated exports and accounted for a substantial 80,3%, or four out of every five vehicles exported in 2025, with 57,0% of light vehicle production destined for the region. In view of the large portion of vehicle exports destined for the region, developments in the EU and the UK have a direct and measurable impact on the domestic automotive industry, such as the legislation to ban new ICE vehicles in the EU and the UK from 2035 onwards. South Africa's vehicle production base, therefore, needs to align with the overall technology shift of global value chains to ensure that the country remains part of the global supply network.

Industry export performance by major region - 2020 to 2025 Q4

	2020	2021	2022	2023	2024	2025	Q4:2024	Q4:2025
Europe	197,355	229,672	255,709	301,639	295,762	332,695	78,241	81,419
North America	9,463	7,981	21,684	20,910	25,554	6,530	1,924	2,072
Asia	29,440	24,170	35,154	35,015	29,265	19,827	8,336	4,582
Africa	17,127	21,994	22,769	25,596	26,200	35,728	8,062	9,427
Australasia	13,698	10,620	12,389	12,483	10,875	13,104	2,395	2,552
Central America	3,156	3,045	2,759	2,952	2,593	5,816	607	1,267
South America	1,188	706	1,527	1,214	879	568	156	143
TOTAL	271,427	298,188	351,991	399,809	391,128	414,268	99,721	101,462

Vehicle exports increased by 1,7% in the fourth quarter 2025 compared to the corresponding quarter 2024 due to increasing exports to all major regions, with the exception of Asia due to decreased vehicle exports to Japan. Vehicle exports to North America remained affected by the Section 232 protectionist automotive duty imposed by the US, but exports to Canada increased during the quarter. The volume loss to the US is an issue for the full supply chain for OEMs as any volumes lost have a knock-on impact on upstream suppliers, volume efficiencies and more. However, despite heightened protectionism across several of South Africa's key export markets, domestic vehicle exports continued to show resilience during the quarter.

8. CONFIDENCE INDEX

The **naamsa** CEOs Confidence Index is an in-house leading business confidence indicator of current and future developments in the domestic automotive industry. The **naamsa** Confidence Index is built to enhance the quarterly reporting with opinions canvassed anonymously from each of the **naamsa** CEOs. The questions focus on views related to automotive business conditions in particular as well as the country's economy in general.

8.1. 4th Quarter 2025 vs 4th Quarter 2024

PERFORMANCE INDICATOR	UP	SAME	DOWN
Domestic new vehicle sales	70%	20%	10%
Vehicle export sales	50%	25%	25%
Vehicle production volumes	50%	25%	25%
Vehicle import volumes	80%	10%	10%
Employment - vehicle manufacturing	25%	50%	25%
Capacity utilisation	45%	33%	22%
Investment expenditure	33%	22%	45%
General new vehicle business conditions	80%	10%	10%

The sentiments expressed by the CEOs of the **naamsa** automotive companies during the fourth quarter of 2025 reflect the more favourable macro-economic conditions while several positive developments also contributed to improved business and consumer sentiment. In November 2025, S&P Global upgraded South Africa's foreign currency credit rating to 'BB' from 'BB-', marking the first upgrade in over 16 years, with a positive outlook. The country also officially exited the Financial Action Task Force (FATF) grey list on 24 October 2025, following a two-year period of increased monitoring. The signing of a three-year wage agreement in November 2025 helped prevent potential industrial action and supported operational stability across the automotive industry. Furthermore, the decision to lower the country's inflation target to 3% during the quarter will contribute to reducing costs across the economy and providing policy and price certainty for investors. A further interest rate cut during the quarter also contributed to improved household consumption. The CEOs generally viewed business conditions during the quarter as positive while the CEOs of imported brands with affordable models, in particular, were upbeat about business conditions.

8.2. Next 6-months

PERFORMANCE INDICATOR	UP	SAME	DOWN
Domestic new vehicle sales	78%	22%	0%
Vehicle export sales	14%	57%	29%
Vehicle production volumes	43%	43%	14%
Vehicle import volumes	100%	0%	0%
Employment - vehicle manufacturing	29%	43%	28%
Capacity utilisation	50%	25%	25%

Investment expenditure	33%	22%	45%
General new vehicle business conditions	89%	11%	0%

The CEOs of the **naamsa** companies expressed a more optimistic outlook on the business environment and some of the industry's key performance indicators for the next six months. With the highest new vehicle sales performance in over a decade as well as record vehicle exports achieved in 2025, it is anticipated that the positive momentum will continue into 2026. South Africa's GDP growth in 2026 is broadly expected to improve from the 2025 level in line with ongoing private sector investment, along with tangible energy and transport gains gradually yielding improvements in the business environment. The new vehicle market remains closely linked to broader economic conditions whilst the influx of new entrants of affordable models is set to continue in 2026. The overall narrative is for a modest improvement but with continuing international economic uncertainty still weighing on sentiment. A concern that remains is that the SAAM 2035 and APDP2 framework review, requested to be brought forward to 2025 but delayed to 2026, has set the industry back by another year.

8.3. Brief Comment on business conditions and the medium-term outlook

The new vehicle market continued to benefit from a materially improved inflation and monetary policy environment with a sixth 25 basis points reduction during the quarter while the Minister of Finance during the November 2025 Medium Term Budget Policy Statement (MTBPS) announced a new inflation target for South Africa of 3% with a 1 percentage point tolerance band. The Rand's appreciation to multi-year best levels against the US dollar has also materially reduced imported inflation pressures, supporting real household purchasing power whilst contributing to moderating new vehicle price increases. This in turn improved customer sentiment and confidence and hence the strong increase in vehicle sales in 2025. Along with an increasing wider range of imported brand, model, and price options for customers to choose from, new vehicle sales in 2025 were the highest since 2015, when 617 650 sales were recorded. Prospects for further growth in 2026 remain favourable with interest rates currently at a three-year low, a real possibility of further interest rate cuts in 2026, easing inflation, and improved economic conditions.

The industry awaits with pressing anticipation the finalisation of the comprehensive review of South Africa's Automotive Masterplan (SAAM) 2035 and APDP2 framework, which remains imperative for the sector's long-term competitiveness, investment attractiveness, and resilience. A coherent, forward-looking policy framework remains imperative to safeguarding South Africa's position within global and regional automotive value chains.

Vehicle exports maintained their upward momentum into the final quarter of the year, achieving the highest level on record for 2025 and once again exhibiting the industry's ongoing resilience, amidst adversity. The export landscape is anticipated to remain complex as the outlook for the year ahead is increasingly shaped by heightened protectionism across several of South Africa's key export markets. However, prospects for vehicle export growth remain optimistic on the back of further new model introductions by major exporters in the domestic market.

FUEL FOR THOUGHT FLASH

A substantial 80,3%, or four out of every five vehicles exported, comprising 57,0% of light vehicle production, were destined for Europe in 2025.

The standard attached schedule reflects updated industry sales, production, export and import numbers. Projections include forecasts for 2026 and 2027.

Kind regards,



Norman LAMPRECHT
Chief Trade and Research Officer
naamsa | The Automotive Business Council